The Committee recommended a methodology described as ‘expected shortfall under stressed conditions with target of 99.5 per cent confidence level and lower risk tolerance limit of 97.5 per cent’ for measuring the market risk of RBI’s assets portfolio. This complex formula leads to determination of valuation provisions required as a proportion of the total Balance Sheet of RBI.

The second part of the ECF relates to how much ‘realized equity’ or retained profits RBI needs to keep. The Committee determined that to meet ‘monetary, financial and external stability risks’ and also to cover ‘credit and operational risk’, RBI should maintain a contingent risk buffer of 5.5 per cent to 6.5 per cent of its Balance Sheet.

The Committee linked the transfer to the government primarily to the availability of realized equity compared to required realized equity. If the ‘available realized equity including the surplus of the year’ is lower than the minimum ‘required realized equity’, no transfer will be made to the government. If the ‘available realized equity before including the surplus of the year’ is higher than the ‘maximum required realized equity’, all the surplus would be transferred. If the ‘available realized equity including the surplus of the year’ is higher than the ‘minimum required realized equity’ but lower than the ‘maximum required realized equity’, the Board will take a decision on how much to transfer to the government and how much to retain.

As far as the complex market risk provision is concerned, no transfer was recommended even if the available valuation provision is higher than the higher range of the provision required. If the available valuation provision is lower than the lower range of the provision required, the surplus would not be distributed even if the available realized equity is higher than the maximum required realized equity.